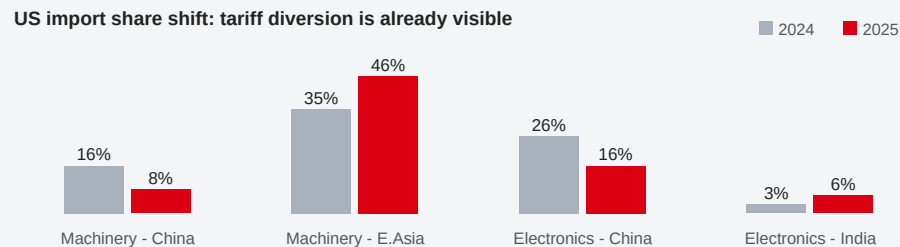


PAGE 7 - Tariff Impact: Repricing the US-China-India Footprint

Purpose: answer the first-order question in the case - supply chain, revenues, COGS and pricing power - while showing that trade policy is multi-directional, not just 'US tariffs on China'.

Core message: Trade fragmentation changes the relative economics of where the firm sources, produces and sells; the effective burden is lane- and product-specific, not a single country tariff.

CHARTS TO PUT ON THE SLIDE



Why this chart matters: it proves that supplier re-routing is already happening. World Bank data show China's share of US machinery imports fell from 16% to 8%, while other East Asia rose from 35% to 46%; in electronics China fell from 26% to 16% and India doubled to 6%.

EU policy stack - use a policy ladder, not another time series

China-specific

BEV CVD 17-35.3

Tyres AD 4.3-45.3%; targeted trade defence.

All-origin steel

18.3mt + 50%

Annual tariff-free quota; 50% out-of-quota;

Carbon border

CBAM live

Definitive regime since 1 Jan 2026; carbon, not country,

India direction

FTA concluded

Negotiations concluded Jan 2026; tariff relief is prospective, not yet

建议：不要复制GS的图。借用其核心框架：EU从较克制转向更有针对性的保护，但用European Commission和World Bank数据自己重画。这样既避免版权问题，也更容易被panel追问时防守。

EXACT PPT COPY (ENGLISH) - THREE COLUMNS / THREE FOOTPRINTS

US - COGS vs Pricing Power

- The US tariff regime is layered across Section 301, Section 232, legacy China measures and product exemptions, so the effective burden depends on origin, HS code and sector rather than one headline rate.
- Tariffs primarily hit the US business through higher landed costs. New York Fed research finds nearly 90% of the 2025 tariff burden ultimately fell on US firms and consumers.
- Strong pricing power allows pass-through but risks weaker volumes; limited pricing power forces the firm to absorb the shock through lower margins.

China - Export Pressure, EU Protection & Third-Market Competition

- China-to-US production economics remain under pressure, accelerating China+1 sourcing; however, alternative suppliers can be more expensive, so diversification reduces concentration risk rather than guaranteeing lower COGS.
- Europe is also becoming more defensive, but via targeted trade-defence measures, all-origin safeguards and carbon / industrial-policy tools rather than a US-style blanket China tariff.
- For the EU parent, the competitive risk is broader than bilateral imports: the GS report argues that lost market share to China in third markets is a larger drag than the EU-China bilateral deficit itself.

India - Relative Diversification Beneficiary, Not a Free Hedge

- India is gaining from supply-chain diversion, particularly in electronics, and the concluded EU-India FTA could improve its relative sourcing attractiveness once implemented.
- But India is not tariff-insulated: the July 2026 US forced-labor Section 301 action applies a 10% rate to India, while EU trade-defence measures can still target specific Indian products.
- Relocating production can therefore exchange China tariff concentration for higher oil, logistics and INR sensitivity - a different risk set, not the removal of risk.

Case-guideline coverage:Supply chain | Revenues | COGS | Pricing power across US / China / India

讲法：这页先回答贸易政策如何改变生产、采购和销售的相对经济性，不要急着进入hedge。最后一句过渡到下一页：这些一阶变化会继续演化为working-capital和treasury问题。

PAGE 8 - Tariff Second-Order Effects: From Supply Chain to Treasury

Purpose: cover every second-order item explicitly requested in the case - supplier re-routing, inventory build, payment terms and contract renegotiation - and then bridge back to funding and FX risk.

Core message: Tariffs do not create one hedgeable exposure - they alter the timing, geography and currency composition of corporate cash flows.

CHARTS / EVIDENCE TO PUT ON THE SLIDE

1) Front-loading before tariffs creates a working-capital shock

+25.1% y/y

-1.8% y/y

Q1 2025
US imports

Apr-Dec 2025
US imports

World Bank: the Q1 2025 surge was driven by pre-tariff front-loading; the US alone contributed about 60% of global import growth in that quarter. This is the evidence for inventory build and cash tied up.

2) Pricing response is mixed - margin squeeze and pass-through coexist

80%

60%

Passed on
some cost

Absorbed
some cost

FRBNY small-business survey: many firms both pass through and absorb costs, which is why contract design and pricing lags matter.

EXACT PPT COPY (ENGLISH) - FOUR SECOND-ORDER EFFECTS

1. Supplier Re-routing

- China+1 sourcing lowers tariff concentration but may raise supplier qualification, duplicated-capacity and logistics costs.
- Re-routing is increasingly constrained by rules of origin, EU steel melt-and-pour requirements and CBAM; moving only the final processing step may not remove the underlying exposure.
- Treasury implication: the cost currency mix changes as sourcing moves from CNY toward INR or other currencies.

2. Inventory Build / Working Capital

- Front-loading ahead of tariff deadlines protects near-term supply but increases inventory days, warehousing cost and obsolescence risk.
- Cash is paid earlier while revenue is realised later, extending the cash-conversion cycle and increasing short-term funding needs.
- Treasury implication: tariff uncertainty can create a funding requirement even before the tariff is actually paid.

3. Payment Terms

- Suppliers may demand deposits, shorter payment terms or USD invoicing when they are unwilling to warehouse tariff / FX risk.
- Customers facing higher prices may simultaneously demand longer payment terms, widening the working-capital gap.
- This DPO-down / DSO-up outcome is a scenario, not a universal fact - present it as a stress channel to test with the client's actual contracts.

4. Contract Renegotiation

- Fixed-price contracts delay tariff pass-through and determine when margin compression appears in the P&L.
- Expect greater use of tariff pass-through clauses, cost escalators, FX adjustment clauses, shorter repricing windows and change-in-law language.
- Fed contacts in July 2026 explicitly reported firms using contract escalators and prior supply-chain relationships to mitigate cost pressure.

Bridge back to the presentation theme: Tariff -> higher / more volatile working capital -> more funding optionality needed; supply-chain relocation -> new FX mix -> different CNY / INR hedge needs.

讲法：这里不要直接说“所以做CCS/NDF”。只说tariff把经营问题转化成funding + FX + cash-flow问题；下一页recommendation再用产品解决已经被证明的风险。